Example 3: Eswar Company has two directors Deepa and Mani. The directors issue 1,000 shares to the public and receive Rs.100 each per share from the shareholders as share application, share allotment and share first call money. However they themselves do not pay Rs.100 for each of the shares taken by them. This amounts to breach of trust and hence they are required to pay Rs.100 each for the shares held by them.

Directors as employees

Directors are professionals who manage the company for the benefit of themselves and for the benefit of the shareholders. However, if a director accepts employment in the same company under a separate contract of service, then, in addition to the directorship, he is also treated as an employee or servant of the company. In other words, when the director is appointed as whole time employee of the company, then that particular director shall be considered as employee director or whole time director.

Example 4: Gunalan is a director of a company who has also taken an extra charge to act as a manager of the company. But as per the contract of service as a manager he is entitled to receive a remuneration. Hence he is a director who also happens to be an employee of the company.

Directors as officers

"**Officer**" includes any director, manager or key managerial personnel or any person in accordance with the directions or instructions the Board of Directors or any one or more of the directors who is or are accustomed to act. Therefore Director is treated as officers of an company. Sometimes, they may be also liable for punishments in form of penalties, under Companies Act, when the provisions of the Act are not strictly complied with.

27.07 Appointment of Directors under Companies Act 2013 - Section 152

Generally, in a public company or a private company subsidiary of a public company, two-thirds of the total numbers of Directors are appointed by the shareholders and the remaining one-third's appointment is made as per Articles and failing which, shareholders shall appoint the remaining one-third.

In a private company, which is not a subsidiary of a public company, the Articles can prescribe the manner of appointment of any or all the Directors. In case the Articles are silent, the Directors must be appointed by the shareholders.

Any company which wants to follow the principle of Proportional representation, the Companies Act also permits the Articles to provide for the appointment of two-thirds of the Directors accordingly.

Nominee Directors can be appointed by a third party or by the Central Government in the event of oppression or mismanagement.

General provisions relating to appointment of directors

1. Every director should be appointed by the company in general meeting as per the provision of the Act.
2. Director Identification Number is compulsory for appointment of director of a company.
3. Every person proposed to be appointed as a director shall furnish his Director Identification Number and a declaration that he is not disqualified to become a director under the Act.
4. A person appointed as a director should give his consent to hold the office of director in physical form on or before his appointment i.e., Consent to act as a director of a company.

12th Commerce Unit 10.indd 250 09-12-2021 12.00.27 PM